

The world in brief

Catch up quickly on the global stories that matter



Photograph: Getty Images

Donald Trump and **Xi Jinping** are meeting for a [summit](#) in Beijing. In his opening remarks Mr Trump paid his respects to the Chinese president and said that the relationship between America and China “is going to be better than ever before”. Mr Xi said the countries must escape the Thucydides Trap—the idea that an emerging power is destined for war with an established one. The leaders will discuss security, including Iran and [Taiwan](#), but the focus will be on commerce.

America’s Senate confirmed **Kevin Warsh** as chairman of the **Federal Reserve**. The 54-45 vote was the closest since Senate approval became a requirement for the post in 1977. Only one Democrat backed [Mr Warsh](#). Now he must deal with rising inflation: on Wednesday the producer-price index, a measure of wholesale inflation, climbed by 6% in the 12 months to April—the biggest increase since December 2022.

Sir Keir Starmer said he has “full confidence” in **Wes Streeting**, despite reports that the health secretary will challenge him for leadership of Britain’s [Labour Party](#) as soon as Thursday. Mr Streeting met the beleaguered prime minister briefly on Wednesday. Speculation about the leadership crisis overshadowed a

speech in Parliament by **King Charles III** outlining the government's plans. Nearly 100 Labour MPs have demanded [Sir Keir's resignation](#).

Gunshots rang out after the **Philippines'** armed forces entered the country's Senate, where a senator wanted by the International Criminal Court is hunkering down. **Ronald dela Rosa** is accused of overseeing the brutal anti-drug campaign of a former president, Rodrigo Duterte. On Monday Sara Duterte, the vice-president and Mr Duterte's daughter, [was impeached](#), setting off a battle to determine who will lead the country.

Binyamin Netanyahu, Israel's prime minister, "secretly visited" the **United Arab Emirates** after the Iran war began in order to meet President Muhammad bin Zayed, Israel's government said. It was their first publicly confirmed meeting. Israel recently supplied [the UAE](#) with Iron Dome air-defence systems and personnel to operate them, according to America's ambassador to Israel. The UAE has accused Iran of [continuing strikes](#) despite a ceasefire.

Alibaba reported a quarterly operating loss of 848m yuan (\$123m), its first since the pandemic. The shortfall highlights the difficulty [the Chinese tech giant](#) faces in monetising the billions of dollars it has invested in AI. It has committed \$56bn to the technology over three years, which weighed on profitability; its core profit plunged 84% year-on-year. Its share price fell by 3% following the announcement.

South Carolina's Supreme Court overturned the murder conviction of **Alex Murdaugh**, a lawyer who was sentenced to life imprisonment in 2023 after being found guilty of killing his wife and son. The justices accused a court clerk of "shocking jury interference" during Mr Murdaugh's [high-profile trial](#), ruling that he should be tried again. He will remain in prison on separate embezzlement charges.

Figure of the day: 25%, the rough proportion of Swedish students who struggle to read properly, according to the country's higher-education minister. [Read why](#) schools in Sweden are going unplugged.



Illustration: David Simonds

India plays anxious host to the BRICS

Over the next two days India will hold what promises to be a contentious BRICS meeting. Subrahmanyam Jaishankar is hosting fellow foreign ministers from the bloc of rising non-Western economies, including Russia's Sergei Lavrov and Iran's Abbas Araghchi.

India aspires to be a bridge between the West and the rest. In convening the group, it had hoped to signal its solidarity with the “global south” even as it nurtures closer ties with America and Europe. But in fact the gathering has become a diplomatic headache.

With Iran and the United Arab Emirates attending—both of whom have joined the bloc since 2024—India is likely to be drawn into debates about [the war in the Middle East](#), which it would rather avoid. Indeed, while the BRICS gathering was meant to boost the clout of countries like India, a simultaneous meeting between Donald Trump and Xi Jinping in Beijing will only highlight how middle-ranking powers are still at the mercy of the world's two greatest.



Photograph: Alamy

Donald Trump visits Xi Jinping

The leaders are meeting in Beijing for a two-day summit. Mr Trump wants [trade to be top of the agenda](#), and hopes to secure commitments from China to buy more American beef, beans and Boeing aircraft. Each side is uneasy about export controls imposed by the other. America wants China to keep critical minerals flowing, meanwhile China wants greater access to advanced American computer chips. The two powers may also agree to a rare co-operative effort to tackle risks posed by increasingly powerful AI models.

Geopolitics also presents challenges. America recently imposed sanctions on Chinese oil refiners and satellite firms for doing business with Iran. But [Taiwan](#) looms largest. Mr Xi has been pressing America to say that it “opposes” Taiwanese independence, alarming officials on the island. These talks are not expected to result in a major change to America’s policy, but with three more meetings between the leaders planned this year, the temptation for Mr Trump to make concessions may grow.



Photograph: Getty Images

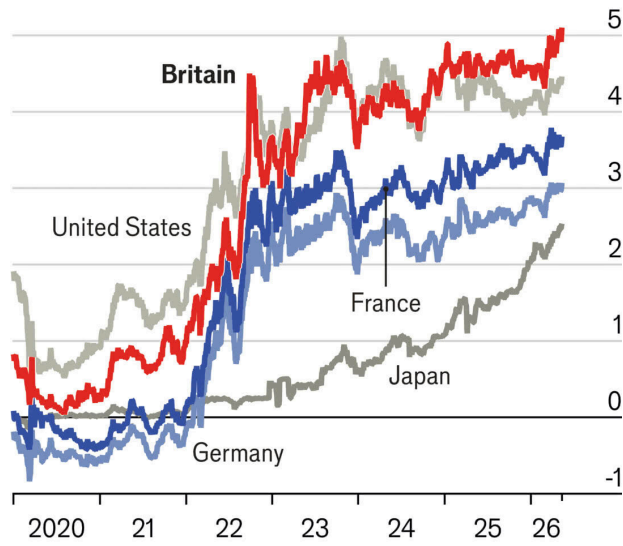
Britain's bond market bites back

Since the Iran war began yields on ten-year gilts, as British government bonds are called, have leapt from 4.2% to just over 5%. Rising energy prices are pushing up inflation—and therefore borrowing costs—everywhere. Britain is unusually vulnerable, however. It imports large amounts of energy and struggled to tame high inflation even before the crisis. Poor fiscal choices by recent governments have also led investors to demand greater compensation for holding what they see as riskier debt.

Political turmoil [continues to keep borrowing costs high](#). The prime minister, Sir Keir Starmer, is a lame duck. Wes Streeting, the health secretary, is planning a leadership challenge. Some of the prime minister's other rivals have sought to dismiss the bond market, but the danger is not abstract. If current yields were pencilled into forecasts at the next budget, debt-servicing costs in 2029-30 would be roughly £7bn (\$9.5bn) more than thought in March. That is equivalent to an extra penny in every pound on income tax.

Gilty displeasure

Ten-year government-bond yields, %



Source: LSEG Workspace



Photograph: eyevine

Squabbling over stablecoins

America's Senate Banking Committee will mull over proposed crypto-market rules on Thursday. Bankers and crypto firms have clashed over parts of the Clarity Act, particularly those relating to [stablecoins](#), cryptocurrencies pegged to the dollar.

Last year's Genius Act set the rules for American stablecoins, but the two sides disagree over a loophole which allows crypto exchanges to pass on returns, or "yields", to holders. Banks fear this will lure savers who would otherwise deposit cash with them. The new bill tightens the ways in which exchanges can pass on yields and increases mandatory checks on customers.

Wall Street is still not satisfied. The American Bankers Association, a trade group, says the rules are not strong enough. Members of the banking committee have proposed more than 100 amendments which could be discussed at the hearing before the bill advances to the Senate floor. True clarity may be some way off.



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: Which famous physicist produced some of his most important work while employed at the Swiss patent office?

Wednesday: The departure of which baseball player in 1920 is supposed to have resulted in a long-lasting curse on the Boston Red Sox?

*The beautiful thing about learning
is nobody can take it away from
you.*

B.B. King